

3) What is the administrative machinery for PPP in India?

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8.9 PPP MODELS IN INDIA

In India, PPPs take a wide range of forms varying in purpose, involvement of the private entity, legal structure and risk-sharing. The private sector participation in the infrastructure building have taken place broadly through corporatisation of existing PSUs (e.g. GAIL, ONGC, IOC, etc.), greenfield investment for development of new projects, PPP in the form of BOT or BOOT model in the road sector and concession agreements with the private sector such as rehabilitate, operate, and transfer. India majorly follows 3 types of PPP models out of many models available. They are:

- i) Hybrid Annuity Model (HAM)
- ii) Build-Operate-Transfer (BOT)
- iii) Engineer-Procure-Construct (EPC)

HAM is a mixture of BOT and EPC where the financing, risks, operations, etc. are distributed between Government and a private partner. The following table would show the difference in these models:

	BOT	EPC	HAM
Risk	Private	Public	Private (60 per cent) Public (40 per cent)
Finance	Private	Public	Private (60 per cent) Public (40 per cent)
Operations and Management	Private	Public	Private
Revenue	Private	Public	Public

Source: <https://www.jatinverma.org/public-private-partnership-in-india>

- i) BOT (build operate transfer) models used for two-thirds of the total PPP projects in India. User-fee based BOT model widely used in medium- to large-scale projects, especially in energy and transport (road, ports and airports). Annuity-based BOT model commonly used in sectors/projects not meant for cost recovery by levying a fee on sectors such as health and education.
- ii) Modified design-build (turnkey) contracts yield time and cost saving benefits; also enable efficient risk-sharing and improve quality.
- iii) Performance- based management/ maintenance contracts suitable for sectors (water supply, sanitation, solid waste management and road maintenance) constrained by the availability of economic resources to improve efficiency.

8.9.1 Government Incentives for PPPs

The Government has facilitated the PPP sector by offering:

- i) **Viability Gap Funding (VGF):** Viability Gap Funding of up to 40 per cent of the cost of the project can be accessed in the form of a capital grant.
- ii) **India Infrastructure Project Development Fund (IIPDF):** It helps the Central and the State Governments and local bodies through financial support for project development activities (feasibility reports, project structuring etc.) for PPP projects.
- iii) **India Infrastructure Finance Company Ltd (IIFCL):** It provides long-term debt for financing infrastructure projects that typically involve long gestation periods since debt finance for such projects should be sufficient to meet the requirements.
- iv) **Foreign Direct Investment (FDI):** Up to 100 per cent FDI in equity of special purpose vehicles (SPVs) in the PPP sector is allowed on the automatic route for most sectors.

The proposals shall include the requisite information necessary for satisfying the eligibility criteria.

8.10 CHALLENGES OF PPP

Despite the success of PPP model in India, there is ample scope to improve its working. Along with the advantages of the PPP projects, the negatives have also surfaced in the forms of various bottlenecks and challenges. “The Indian public sector suffers from peculiarly Indian constraints. Political interference in recruitment, competitive trade union activity (witness the posters in every railway station), rigidities on salaries and writs in courts on service matters, reduce the efficiency of personnel management in the public sector. Activities of oversight agencies – vigilance, comptroller and auditor general, etc– cause extreme risk aversion in decision-making, reducing the efficiency of procurement and operational decisions” (Somanathan and Natarajan, 2019).

In addition to above constraints, Gautam Ray (2014), has observed that “despite progress and bright future prospects, investors continue to face many challenges and perceive many hurdles. At the same time, project authorities are finding it difficult to implement initiatives that are afflicted by higher cost, inflation and/or unrealistic estimates of streams of expected revenue, and some approved projects get delayed or abandoned because investors cannot secure financial closure due to their unrealistically aggressive bids. Litigation and disputes over land acquisition and other issues present further problems. Perhaps the most important challenge before state governments is to develop well-designed PPP projects in social infrastructure so that private investors, including NGOs, are sufficiently motivated to invest”.

To develop the PPP projects in India, the Kelkar Committee (2015) recommended that:

- i) PPPs should not be used by the government to evade its responsibility for service delivery to citizens.

- ii) This model should be adopted only after checking its viability for a project, in terms of costs and risks. PPP structures should not be adopted for very small projects, since the benefits are not commensurate with the costs.
- iii) PPP must not be a short cut only to save money or bridge fiscal gaps or transfer risks; it should be used to improve service quality or bring efficiency improvements.
- iv) The prevention of Corruption Act, 1988 should be amended to distinguish between genuine errors in decision making and acts of corruption by public servants.

The Committee has emphasised that India's success in deploying PPPs as an important instrument for creating infrastructure will depend on a change in attitude and in the mind-set of all authorities dealing with PPPs, including public agencies partnering with the private sector, government departments supervising PPPs, and auditing and legislative institutions providing oversight of PPPs. It is pertinent to note that PPPs have contributed towards the growth and development of the Indian economy in multiple ways. Combining the professionalism of the corporate sector with the welfare objectives of the state has resulted in projects which are known for their world class facilities and advanced amenities. For example, several airports including Mumbai airport and the T3 of Delhi airport are built on the PPP model. The PPP has seen several successful infrastructural projects over the past decade.

It has rightly been observed that "selection of right PPP model for a right project at a right time through realistic planning would go a long way in providing meaningful and hassle-free infrastructure development, which ultimately would increase the infrastructure standards and thereby sustain the overall macroeconomic developments of the country" (Lakshmanan, 2008).

Check Your Progress 4

- 1) Discuss the different models of PPP adopted in India.

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- 2) What incentives government provide for having PPP in India?

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